

[*473] * 22. **Sale where no money is to be received by the trustees.** — Where the trust estate is *in mortgage*, and the money receivable by the trustees is applicable either wholly or in part in payment of the mortgage, of course the trustees may sell and sign a receipt for the difference, or, if there be no surplus beyond the mortgage, may sell without signing any receipt; for the circumstances to which the receipt clause was meant to apply, have, in one case, arisen only partially, and in the other not at all.

23. **Hope v. Liddell.** — Where the trustees have a power of signing receipts, it has been held not to be necessary that the trustees, who sign the receipts, should themselves actually receive the money, provided it be paid to some person by their direction, and the transaction do not on the face of it imply a breach of trust (*a*). Thus, where the purchase-money was expressed in the deed to be paid to the trustee, and a receipt by the trustees was endorsed, but in fact the money was paid, by the direction of the trustee, to the tenant for life; Lord Romilly, M. R., said, that the purchaser

May, 1825, which contained a power of investing the trust fund on a mortgage of lands of *inheritance in fee simple*, with the usual receipt clause. On 27 July, 1826, the trustees invested 1200*l.* on a mortgage of a *term of 500 years*. On 23 November, 1844, the owner of the fee subject to the term paid the 1200*l.* to A. and B. who assigned the term to attend, and the receipt of A. and B., notwithstanding the breach of trust, was held to be sufficient. M. R. 10 December, 1859. The defendants appealed from the decree upon other points, and also included this, but wanted the courage to argue it at the hearing. It not unfrequently happens that trustees without any sufficient power lay out trust money in the purchase of real estate, and then the question arises whether when they want to sell again they can make a good title. The case may be provided for by a special condition of sale or the sanction of the Court may be obtained in a suit

for the purpose; see *Robinson v. Robinson*, 10 Ir. Rep. Eq. 189. [But it has been held in a recent case that upon the purchase-money being invested by the trustees on the securities authorised by the instrument creating the trust, and on one of the *cestuis que trust* concurring in the sale to show that they had not all elected to take the real estate as realty, the purchasers will have a good title from the trustees; *Re Patten and Guardians of the Edmonton Union*, 52 L. J. N. S. Ch. 877.]

[(*a*) In *Re Flower and Metropolitan Board of Works*, 27 Ch. D. 592, Kay, J., seems to have been of opinion that such a transaction necessarily implied a breach of trust; but see *ante*, p. 202. However, in the present state of the authorities no trustee can be advised to allow his co-trustee to receive trust money unless the circumstances of the case render it *necessary*.]